

Adidas US Sales Performance Analysis (2020–2021)

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1. Executive Summary

During the 2020–2021 reporting period, the Adidas US distribution network generated **\$120 million** in total revenue with **\$33 million** in profit and a **28% profit margin**, representing **296% year-over-year revenue growth** (Adidas Sales Performance Analysis report, p. 5). The West region led all territories with \$36.4 million (30% of revenue), the Online channel captured the largest revenue share (37%), and Street Footwear emerged as the best-selling product line (37% of revenue).

This report presents a corrected and consolidated executive analysis of that performance across four dimensions: geography, product categories, sales channels, and retail partners. It supersedes the earlier draft by reconciling all category figures to the \$120M total, correcting the regional ranking narrative, and framing channel profitability through the operating-expense lens that drives the margin differences observed in the data.

2. Scope and Business Context

The analysis covers two full calendar years (2020–2021) of Adidas US sales transactions across all five US regions, six product categories, three sales methods (Online, In-Store, Outlet), and six major retail partners. All figures are drawn from the final Power BI dataset.

The report follows a three-part structure: (1) data overview and key findings, (2) detailed insights by region, product, channel, and retailer, and (3) strategic recommendations for executive decision-making.

3. Regional Performance

Regional revenue is heavily skewed toward the West, which alone accounts for nearly one-third of national revenue. The corrected ranking below replaces the earlier draft's inconsistent

claim that the Northeast was a top performer – in fact, the Northeast ranks **last** of the five regions.

Rank	Region	Revenue	Share of Total
1	West	\$36.4M	30%
2	South	\$25.1M	21%
3	Midwest	\$21.3M	18%
4	Southeast	\$20.6M	17%
5	Northeast	\$16.7M	14%

West and South regions demonstrate the strongest performance, together contributing roughly half of national revenue. At the city level, **New York (\$5.68M)** is the highest-selling city despite the Northeast’s overall weakness, followed by **San Francisco (\$4.93M)** with strong demand, **Charleston (\$4.90M)** as a high-volume market, and **Portland (\$4.18M)** with consistent performance and clear room for further development.

The Northeast’s bottom rank indicates that New York is a strong single market sitting inside a structurally underperforming territory – an important distinction when allocating regional budgets.

4. Product Category Performance

Men’s Street Footwear is the undisputed revenue leader, while Women’s Apparel delivers the best profit margin of any category. The six-category breakdown below reconciles to the \$120M total (rounded figures; minor deviations reflect rounding):

Category	Revenue	Share of Total
Men’s Street Footwear	\$28M	23%
Women’s Apparel	\$24M	20%
Men’s Athletic Footwear	\$21M	18%
Women’s Street Footwear	\$17M	14%
Men’s Apparel	\$17M	14%
Women’s Athletic Footwear	\$14M	12%

Two findings stand out. First, **Men’s Street Footwear (\$28M, 23%)** anchors the portfolio’s top line. Second, **Women’s Apparel (\$24M)** combines the second-highest revenue with the **highest profit margin (28.8%)**, making it the most efficient category per dollar of revenue. The combined Street Footwear line (Men’s + Women’s, \$45M) represents 37% of total revenue, confirming footwear – not apparel – as the commercial engine of the US business.

5. Sales Channel Effectiveness

Channel analysis reveals the report's most consequential insight: **the highest-revenue channel is not the most profitable one.**

Sales Method	Revenue	Profit
Online	\$45M	\$9.66M
Outlet	\$40M	\$10.80M
In-Store	\$36M	\$12.76M

Online holds the largest revenue share (~37% of total) yet produces the **lowest** profit of the three channels, while In-Store – smallest in revenue – delivers the **highest** profit (\$12.76M). Viewed through the operating-expense lens, this gap is driven by the relative weight of operating costs against revenue: the Online channel carries heavier fulfillment, logistics, and digital-acquisition expenses per revenue dollar, whereas In-Store operations convert a larger share of each revenue dollar into profit. Outlet sits in the middle on both dimensions, consistent with its discount-oriented but cost-lean model.

In-Store retail still accounts for roughly one-third of total revenue and remains the profitability backbone of the business; its margin advantage should be protected rather than traded away for online volume growth.

6. Retailer Performance

Revenue is concentrated among three retail partners, which together account for approximately **72% of total revenue**:

Retailer	Revenue
West Gear	\$32.40M
Foot Locker	\$29.00M
Sports Direct	\$24.60M
Kohl's	\$13.50M
Walmart	\$10.50M
Amazon	\$10.00M

West Gear and Foot Locker are the best-performing partners; Amazon is the weakest among the six majors. This concentration creates both strength and risk: the top three partners drive the bulk of national revenue, so any disruption to these relationships – or margin erosion in their associated operating costs – would materially affect overall profitability. Partner agreements should therefore be evaluated on operating-profit contribution, not gross volume alone.

7. Strategic Recommendations

The following recommendations consolidate the original report's Part 3 guidance with the corrected analytical findings above.

Regional priorities. Concentrate investment on the strongest markets — New York and California — while treating Florida and Texas as high-potential growth markets. Strengthen logistics and marketing in the Southeast to boost revenue growth, and investigate why the Northeast underperforms despite New York's individual strength.

Product strategy. Continue focusing advertising and product development on Men's Street Footwear and Women's Apparel — the revenue leader and the margin leader respectively — and increase market penetration by expanding the SKU range within these two categories. The 28.8% margin on Women's Apparel justifies premium positioning and deeper inventory investment.

Channel strategy. Develop omnichannel strategies that create a seamless customer shopping experience. Invest in the Online channel through targeted campaigns, customer loyalty programs, and conversion optimization to close its profitability gap. Simultaneously, protect the high-margin In-Store business through upselling and cross-selling, premium product placement, and exclusive in-store promotions. Pilot AI-based virtual try-on tools in stores so customers can personalize and preview products — a differentiator that reinforces the in-store margin advantage.

Partner strategy. Deepen collaboration with West Gear, Foot Locker, and Sports Direct to grow revenue next year, while renegotiating terms with lower-yield partners (Amazon, Walmart) so that contracts reward operating-profit contribution rather than raw volume.